

Technically, the interest component should come under the income statement and the principal component should reduce liabilities in the balance sheet. But we may not be able to estimate the amount of each component every month without a Loan Amortization Table as, it is a time consuming and technical process.

Let us try a simpler method. The entire EMI amount will be recorded as expense in the income statement for the entire year. At the end of the year, we will check the principal amount that we have repaid during the year with our bank, following which the liabilities will be reduced by that much amount. This will increase the networth. We follow this approach for its simplicity and an accounting expert will probably kill us for the same. But it can be surely said that the net result will be exactly same.

